**Question 4:**

| | Strongly Disagree | Disagree | Neutral | Agree | Strongly Agree |
|---|---|---|---|---|---|
| I have made investments in "sophisticated" investment products because it made me feel like a better investor or because my associates were doing it and I wanted to invest like them. | ☐ | ☐ | ☐ | ☐ | ☐ |

## ADVICE

If you agreed or strongly agreed with any of these questions, you may be susceptible to affinity bias.

**Question 1:** Investors who are susceptible to affinity bias may decide to invest in weak or otherwise unsound companies that reflect expressive characteristics rather than utilitarian characteristics in a misguided attempt to find investment success. As noted earlier, a classic example of this is retail chain stores that have a popular product such as blue jeans, watches, or other products that reflect expressive benefits, only to find that they are not a sound investment. Investors and advisors need to ask themselves first why they are making the investment—not just based on the product that is manufactured or promoted.

**Question 2:** Some investors may invest in companies that they feel reflect their ESG values, which may or may not prove to be a successful strategy. Some studies have shown that ESG-type (socially responsible) investing is a successful strategy, while others have shown that ESG is not a winning investment strategy. Regardless, investors and their advisors need to be aware that some clients may wish to invest in companies that reflect their social values, and this may have investment implications.

**Question 3:** Another implication of affinity bias is that some investors may wish to invest in things that convey status, but that they know nothing about or are unaware of the risks of, such as investing in hedge funds or other alternative investments that their social acquaintances are investing in, in order to demonstrate status or be part of an investment club—only to find that they made a bad